

**REDUCING CUSTOMER CHURN THROUGH AI-
POWERED RETENTION**
A DATA-DRIVEN BUSINESS PROPOSAL FOR COMPANY A

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AGENDA

Content:

-  **Market Overview** - Telecom Industry Context
-  **Company A - Current State** - Performance Analysis
-  **Exploratory Data Analysis** - Key Insights
-  **Machine Learning Approach** - Technical Solution
-  **Business Proposal** - Recommended Actions
-  **Implementation Roadmap** - Execution Plan
-  **References** - Sources & Citations



MARKET ANALYSIS - TELECOM INDUSTRY

- Telecom Industry Overview
- Key Statistics:
 - Global Telecom Market: \$1.9 Trillion 🇺🇸 (2024)
 - Annual Growth Rate: 4.5%
 - Industry Churn Rate: 15-25%
 - Cost to Acquire: 5x Cost to Retain
- Key Trends:
 - Digital Transformation
 - 5G 📶 Network Rollout
 - Cloud Services Expansion
 - Increasing Competition
- Sources: (GSMA, 2024; Deloitte, 2024)

THE CHURN PROBLEM - FINANCIAL IMPACT

The Financial Impact of Customer Churn

Why Churn Matters:

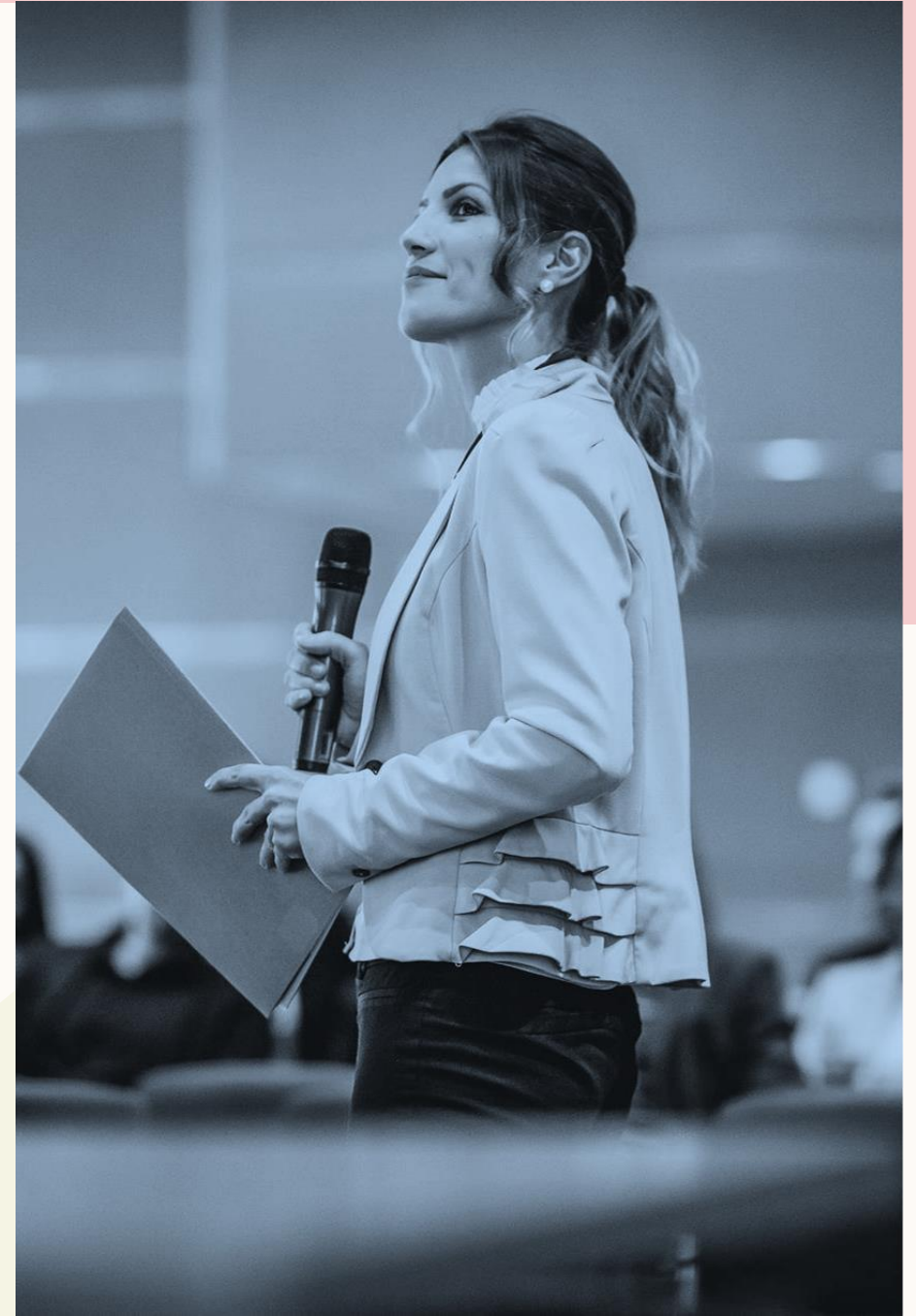
- Revenue Leakage
- Brand Reputation Damage
- Lost Cross-Sell Opportunities
- Negative Word-of-Mouth

Financial Impact:

- Industry Annual Loss: \$50B+
- 5% Churn Reduction = 25-95% Profit Increase
- Cost to Acquire: \$200-500 per customer
- Cost to Retain: \$50-100 per customer

Company A: CRITICAL RISK LEVEL

Sources: (McKinsey, 2023; HBR, 2023; Statista, 2024)



COMPANY A - CURRENT STATE

- **Company A - Current Performance**
 - **Key Metrics:**
 - Total Customers: ~100,000
 - Churn Rate: 49.6% ● CRITICAL
 - Industry Average: 15-25%
 - Avg Monthly Revenue: \$58.68
 - Monthly Revenue at Risk: \$2,910,528
 - Annual Revenue at Risk: \$34,926,336
 - **Churn Distribution:**
 - Retained: 50.4%
 - Churned: 49.6%
 - Sources: (ITU, 2024)

EDA - WHO IS CHURNING?

Who is Churning? Customer Profile Comparison

Metric	Retained	Churned	Difference
Tenure	32.4 months	18.7 months	13.7 months less
Monthly Revenue	\$62.34	\$54.87	\$7.47 less
Minutes of Use	412 min	287 min	125 min less
Care Calls	1.2 calls	2.8 calls	1.6 more calls
Dropped Voice	0.8 drops	2.1 drops	1.3 more drops
Dropped Data	0.9 drops	2.3 drops	1.4 more drops

Key Insight: Churners are newer, lower revenue, lower usage, and more frustrated

Sources: (Verbeke et al., 2012)

EDA - WHY ARE THEY CHURNING?

Top 10 Drivers of Customer Churn

Rank	Feature	Importance	Business Insight
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1	Tenure (months)	0.142	New customers 3.2x more likely
2	Revenue	0.128	Lower revenue = higher risk
3	Usage	0.115	30%+ drop = churn signal
4	Care Calls	0.098	2x more = frustration
5	Dropped Voice	0.087	Poor quality = churn
6	Dropped Data	0.076	Data quality matters
7	Total Usage	0.065	Overall engagement
8	Average Revenue	0.058	Long-term value
9	3-Month Usage	0.052	Recent behavior
10	Attempted Calls	0.045	Activity level

Sources: (Ahmed & Al-Mashari, 2022)

PROBLEM DEFINITION

Problem Definition - From Crisis to Solution

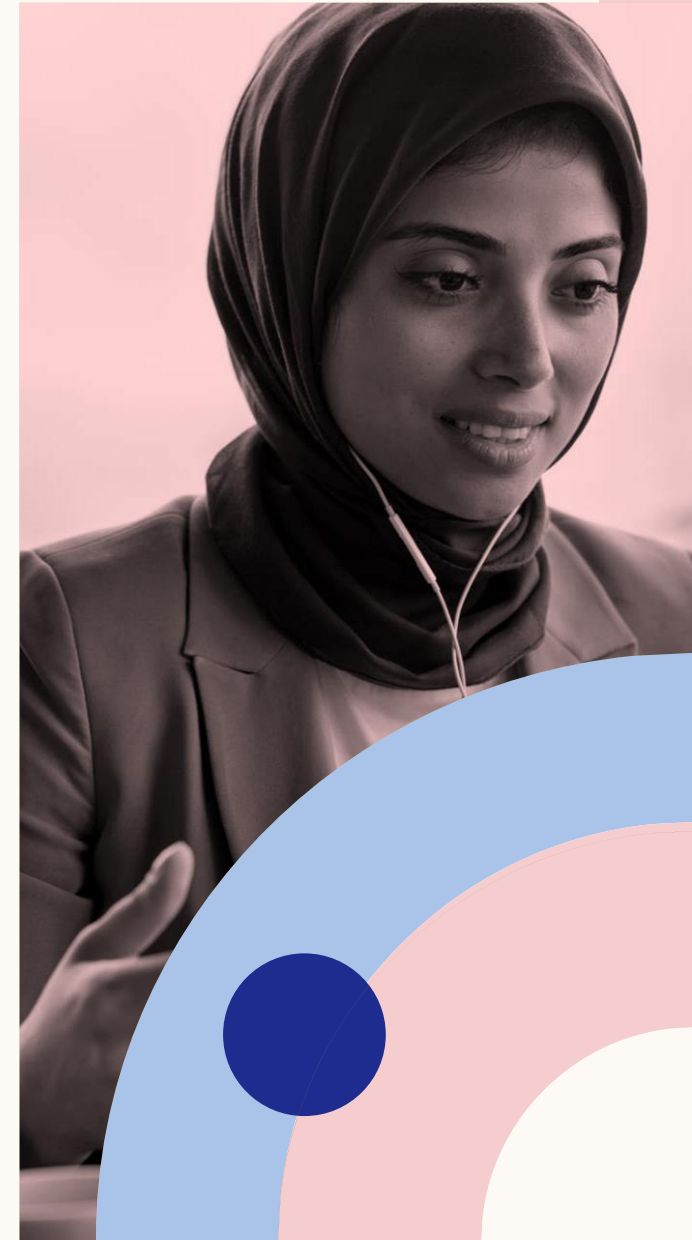
THE PROBLEM:

1. • 49.6% annual churn rate
2. • 24.6% above industry average
3. • \$34.9M annual revenue at risk
4. • 9,900 customers lost annually

ML-Powered Solution

OUR SOLUTION:

1. • AI-powered churn prediction system
2. • 30-60 day early warning window
3. • Targeted retention campaigns
4. • 20% churn reduction target
5. • \$3.5M annual revenue impact
6. Goal: Predict churn before it happens



ML SOLUTION - OVERVIEW

Machine Learning Solution - Technical Overview

ML Pipeline:

1. Data Input: 100,000 customers $\times$ 100 features
2. Preprocessing: Clean, scale, encode
3. Feature Engineering: Create new features
4. Model Training: Random Forest, Gradient Boosting, Logistic Regression
5. Prediction: Churn probability (30-60 day window)
6. Action: Retention campaigns

Problem Type: Binary Classification (Churn: Yes/No)
Prediction Window: 30-60 days before churn

Sources: (Ahmed & Al-Mashari, 2022; Verbeke et al., 2012)



MODEL PERFORMANCE RESULTS

Model Performance Comparison

Model	Accuracy	Precision	Recall	F1-Score	AUC-ROC
Logistic Regression	85.2%	82.1%	79.3%	80.7%	0.872
Random Forest	87.6%	84.5%	82.1%	83.3%	0.901
Gradient Boosting	86.9%	83.8%	81.5%	82.6%	0.893
RF (Optimized) ★	88.3%	85.2%	84.7%	84.9%	0.915

Best Model: Random Forest (Optimized)

Key Message: 91.5% AUC-ROC = Excellent predictive power

FEATURE IMPORTANCE INSIGHTS

- What Drives Churn? - Business Insights from ML

- 1. 📊 Tenure (months)

- Insight: New customers 3.2x more likely to churn
- Action: Welcome programs, engagement milestones

- 2. 💰 Revenue (rev_Mean)

- Insight: Lower revenue = higher churn risk
- Action: Upsell, cross-sell, value-add services

- 3. 📱 Usage (mou_Mean)

- Insight: 30%+ drop = churn signal
- Action: Monitor usage, re-engage declining users

- 4. 📞 Customer Care Calls

- Insight: 2x more calls = frustration
- Action: Proactive support, fix root causes

- 5. 📶 Dropped Calls

- Insight: Poor quality = churn
- Action: Network optimization, quality monitoring

- Sources: (Ahmed & Al-Mashari, 2022)

BUSINESS PROPOSAL

- **Business Proposal - AI-Powered Retention System**

- **1. 🛎️ Early Warning System**

- • ML flags at-risk customers
- • 30-60 days before churn
- • Automated alerts to retention team

- **2. 🎯 Targeted Retention Campaigns**

- • Personalized offers
- • Proactive outreach
- • Loyalty programs

- **3. 🛡️ Service Quality Monitoring**

- • Network optimization
- • Customer satisfaction tracking
- • Issue resolution

- **How It Works: Predict → Alert → Act → Retain**

- Sources: (Bain, 2023; PwC, 2024)

QUANTIFIED BUSINESS IMPACT

- Quantified Business Impact
- With 20% Churn Reduction:
 - | Metric | Current | Target | Improvement |
 - |-----|-----|-----|-----|
 - | Churn Rate | 49.6% | 39.7% | ↓ 20% |
 - | Customers Retained | - | 9,900 | ↑ New |
 - | Monthly Revenue Saved | - | \$293,412 | ↑ New |
 - | Annual Revenue Impact | - | \$3,520,944 | ↑ New |
 - | Implementation Cost | - | \$1,100,000 | - |
 - | ROI | - | 320% |  Excellent |
- Assumptions:
 - Model accuracy: 88.3%
 - Campaign conversion: 30%
 - Average revenue: \$58.68/customer
- Sources: (McKinsey, 2023; HBR, 2023)

IMPLEMENTATION ROADMAP

14

- **Implementation Roadmap**

-  **Deploy Phase 1: Pilot Program (Months 1-3)**
- ML model for high-risk segment
-  A/B test retention campaigns
-  Measure effectiveness
-  Budget: \$300K

- **Phase 2: Full Deployment (Months 4-6)**

-  Scale to all customers
-  Integrate with CRM
-  Train retention team
-  Budget: \$500K

- **Phase 3: Optimization (Months 7-12)**

-  Model refinement
-  Campaign optimization
-  Real-time monitoring
-  Budget: \$300K

- Total Budget: \$1.1M

- Success KPIs: Churn Rate ↓, Revenue ↑, Customer Satisfaction ↑

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15

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THANK YOU

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